

PITCH — DSGX — VERDICT

ADJUDICATED 2026-09-16 — WATCH-live — band \$70; let the P70 expire 9/18 (conviction 8/10).

What we believe

Descartes runs a good business we would like to own at the right price, and today's price is *near* but not *at* that level.

The specifics:

1. **The business is not breaking.** Last printed quarter (Q1 FY27, filed as a 6-K on 2026-06-03): revenue \$193.6m, up 15%; net income \$48.5m, up 34%; gross margin 78%; cash \$377.0m; effectively debt-free (total debt ~\$8.1m, mostly leases); a \$350m credit line untouched; ~\$21m of stock bought back in the quarter. Primary source:
<https://www.sec.gov/Archives/edgar/data/0001050140/000092963826002122/exhibit99-2.htm>
2. **The underlying growth rate went up, not down.** Growth excluding acquisitions and currency moved from about 8% in the prior quarter to “just over 9%.” Deferred revenue (money customers have already committed) rose 14% year over year to \$112m, roughly in line with revenue growth. There is no sign of a demand air pocket in the public numbers.
3. **The stock has genuinely fallen a lot.** At the desk's own tape of \$73.49 it is about 32% below its 52-week closing high of \$108.09 and about 17% above its 52-week low of \$62.56.
4. **But we cannot yet say it is cheap, because nobody on this row ever wrote down a fair value.** At \$73.49 the whole company is worth roughly \$6.1B after netting out cash — about 7.5x next year's expected revenue and about 28x next year's expected earnings. For ~9% underlying growth that is a fair-to-full price, not a bargain. Both benches agreed the row has no stated fair value and no stated entry logic. That is why the verdict is “starter at best,” not “buy.”
5. **The thing we hold today is a mistake and should go.** The book is short one \$70 put (premium taken in: \$234.96) with unlimited-ish downside of \$6,765 if the stock went to zero, sitting through an earnings report that the company itself scheduled for after the close on 2026-09-10. Our own scenario table (below) says that put is worth about \$2.90 and we sold it for \$2.35. We are short something at less than our own estimate of its value, into a known event, for \$235. Close it.

What the market believes

The market believes Descartes is a high-quality compounder whose growth rate has slipped from mid-teens to high-single-digits, and it has repriced the shares roughly a third lower to reflect that — while still paying a premium multiple for the quality.

Concretely, the published expectations for the quarter that prints on 2026-09-10 are about **\$199.1m of revenue and \$0.57 of adjusted earnings per share**, with about \$807.8m of revenue and \$2.62 of adjusted EPS for the full fiscal year. The name is widely covered; there is no information vacuum here.

The market also appears to believe the recent buying spree (Extensiv ~\$120m on 2026-09-01, Tai ~\$100m on 2026-08-24, plus an undisclosed Chile last-mile deal on 2026-07-06) is a signal that organic growth needs help. Three deals in about eight weeks and \$220m+ of cash out the door is a fact; the interpretation is contested.

Why we might have edge

Honestly: **thin**. We should say so.

- **A small timing/plumbing edge.** Our broker feed had the stock at \$73.49 late on 2026-09-09 while public aggregators were still showing \$75.61 (2026-09-08) and \$78.94 (2026-09-04). We were seeing a three-session, roughly 7% slide into the print before the secondary sources caught up. That is worth something for one day, not for a thesis.
- **A framing edge on the growth argument.** The gap between 15% total growth and 9% organic growth is *not* all bought growth — the company states the organic figure excludes currency, so part of that gap is FX, and the organic rate accelerated (8% → 9%+). One bench got this backwards. Reading it correctly is a modest edge over the lazy “growth is purchased” take.
- **A disclosure-substitute edge.** Descartes does not publish contracted backlog (RPO), which is normally how you’d catch a slowdown before it prints. Deferred revenue (+14%) is a usable stand-in. One bench declared this uncheckable; it isn’t.
- **What is NOT an edge:** we have no proprietary forecast for the quarter, no channel work, no customer checks, no fair value. We cannot state a disagreement with the published \$199.1m/\$0.57. A trade with no stated disagreement is not a trade.

Why it might be priced in

- **The event is public and dated.** The company published the 2026-09-10 after-close report date on 2026-08-04. Nobody is early.
- **Both acquisitions are announced with prices attached.** Extensiv at ~US\$120m is in the company’s own 2026-09-01 press release; Tai at ~\$100m cash was announced 2026-08-24. There is no hidden cash story.
- **The de-rating has already happened.** A 32% drawdown from the high on a business still growing 15% *is* the market pricing the slowdown. Buying it at 7.5x sales and 28x forward earnings is buying a consensus-quality asset at a consensus-quality price.
- **The shelf is a non-event.** The 2026-07-15 F-10EF looks alarming next to \$220m of deal spend, but it is a routine renewal: the prior shelf (filed 2024-07-15, 25-month term) was expiring, nothing was ever sold under it, and the new one runs 37 months. Primary: https://www.sec.gov/Archives/edgar/data/0001050140/000110465926083949/tm2618229d1_f10ef.htm

- **The one genuinely non-priced thing is our own position**, and that is an execution problem, not an edge.

What could go wrong

The pre-mortem (v1.7). Top three failure narratives.

Failure 1 — We get assigned on the put and end up long a falling stock we never authorized (HAS a tripwire). The print lands after the close on 2026-09-10. Our \$70 put is only 4.7% away. A 6–8% down-move on a soft organic number puts us long 100 shares at \$70 (a \$7,000 obligation) at the same moment the resting \$73.50 buy order (162 shares, ~\$11.9k) and the \$68.50 order (149 shares, ~\$10.2k) are live. Worst case we wake up with roughly \$18k–\$29k of long exposure inside a sleeve capped at \$5–10k, all bought above where the stock now trades. *Tripwires*: price alert at 70.00 and 68.50; the 6-K filing itself; the open-orders check before the 9/10 close.

Failure 2 — Organic growth is not 9%, it is 7%, and the acquisitions were the tell (HAS a tripwire). Three deals in eight weeks is what a company does when the core is decelerating. If the 2026-09-10 release shows organic services growth below ~8%, or the total looks fine only because Extensiv/Tai/Chile got stapled on, then 28x forward earnings compresses toward 20x and the stock has \$10–14 of downside from here. The deferred-revenue check (+14%) argues against this, but deferred revenue also *includes* acquired books. *Tripwires*: the organic-services-growth line in the 9/10 MD&A; deferred revenue below +10% year over year; any disclosure that acquisition contribution exceeded ~5 points.

Failure 3 — The deals cost more than the press releases say, and we find out two years late (NO monitorable tripwire). The announced prices are \$120m and \$100m “cash on hand,” with the Chile deal undisclosed. What is not in any release: earnouts, holdbacks, retention pools, seller notes, assumed hosting/infrastructure obligations, indemnity caps, or acquired-customer concentration inside Extensiv’s 3PL base. Descartes is a foreign private issuer filing 6-Ks; interim disclosure is thin and per-deal economics are aggregated. There is no filing, no feed, no alert, and no price level that tells us this is happening. It surfaces as an unexplained margin sag or a goodwill charge several quarters out, after we have already re-underwritten the name on the announced numbers. **Unknown-unknown class: PRIVATE CONTRACT TERMS / NON-FILED CONSIDERATION STRUCTURE.** (Sibling class we have been burned by before: acquired-entity revenue quality — the acquired book’s churn is invisible until it is blended away.) *Best available partial mitigation, not a tripwire*: re-read every future MD&A for changes in the acquisition-consideration and contingent-consideration language, and treat announced purchase prices as floors, never totals.

The reflexive / structural leg.

- **Our size is irrelevant to the tape; the tape is not the risk.** The resting orders are 162 and 149 shares. Against a name that trades on the order of several hundred thousand shares a day, that is well under one tenth of one percent of a day’s volume. We cannot move this stock and we will not be trapped in it. *Estimate flagged — ADV is not in the pack (see unverified #6).*

- **The risk is our own doctrine colliding with itself.** The “bands rest by default” rule (applied retroactively 2026-08-05) turned two entry bands into two live orders. The court then returned a recommendation of *None*. So an unauthorized order at \$73.50 is sitting exactly at a tape of \$73.49. Our own process, not the market, is about to put on a position the adjudication declined to approve — and it will fill on the way *down* into a scheduled event, which is the worst possible fill mechanism.
- **Doctrine interaction #2:** the sensor pack is dated for a print on 2026-09-02 while the company-confirmed date is 2026-09-10. A stale date on an armed sensor means the “print proximity” guard was off during the exact week it was needed.
- **Doctrine interaction #3:** the short put’s own guardrail (“roll only if delta ≤ 0.10 ”) cannot currently be satisfied. Backing out from the \$2.35 premium at a \$70 strike, the position sits around 0.32 delta at *any* expiry consistent with that premium. There is no compliant roll; there is only closing it.
- **Flow prediction:** none needed. Nobody is on the other side of us because of us.

If this position loses money, the most likely reason will be ____ that we sat short a \$70 put through a company-scheduled earnings report for \$235 of credit while our own resting orders bought more stock into the same down-move, so a single soft organic-growth line turned a “no position” verdict into a triple-sized long at the wrong prices.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Entry band “touch at ≤ 73.50 ” is live	Evidence pack TAPE (ibkr_gw), timestamped 2026-09-09	px 73.49 — band touched by one cent	YES (and it has fired)
Red bench: “pack says 73.59, band not touched”	Read the pack line directly	Pack says 73.49. Red misquoted the pack and then refuted a same-day broker print with a prior-day retail close (\$75.61, 2026-09-08)	NO — red bench error
Blue bench: “pack TAPE reads 73.43”	Read the pack line directly	Pack says 73.49 . Blue also misquoted the pack while correcting red for misquoting it. Both benches worked off wrong tape digits; the conclusion (band touched) survives, the arithmetic didn’t	NO — blue bench error
52-week high 108.09	Pack vs public quote rails	108.09 is the <i>closing</i> high; 109.00 is intraday; a Canadian listing also prints CA\$109.65. Red called the pack wrong; it was a basis mismatch, not an error. Our own house rule (USD/Nasdaq only) resolves it	Confirmed (pack correct on its stated basis)

Claim	How checked	Found	Confirmed?
Drawdown –32% / +17.5% off low	Recomputed at 73.49	–32.0% and +17.5%. Pack arithmetic is internally exact; red’s “3.3 points shallower” came from the stale price, not the anchor	YES
Print date 2026-09-10	Company press release 2026-08-04 (descartes.com investor news), corroborated by a second source	Confirmed, after market close. The pack labelled it “yfinance-derived — UNCONFIRMED”	Confirmed — pack defect
Blue bench’s calendar work	Cross-read	Blue initially accepted the “unconfirmed” label and conceded the miss. Bench error, plainly stated	NO — blue bench error
Cash after the deals	Q1 FY27 6-K + deal releases	\$377.0m, minus ~\$120m (Extensiv), ~\$100m (Tai), ~\$21m/qtr buyback, minus an undisclosed Chile deal, plus ~\$60–70m quarterly operating cash flow ⇒ ~\$200m , roughly 47% below the last printed figure	Direction confirmed; exact figure still open (see unverified #2)
“Liquidity risk” from that cash draw	Credit-line and debt check	\$350m revolver undrawn, total debt ~\$8.1m, positive operating cash flow. Not a liquidity story. Red correctly declined to escalate this	Confirmed — not a risk
“Growth is purchased: 15% total vs 9% organic = 6 points bought”	Company’s own wording on the Q1 call	Organic figure excludes FX , and it accelerated from ~8% to just over 9%. Red attributed the whole 6-point gap to acquisitions; part is currency	NO — red bench error (reduced, not killed)
Valuation	Recomputed at 73.49 with ~85.7m shares	EV ≈ \$6.1B ⇒ ~7.5x forward revenue, ~16.5x EBITDA, ~28x forward EPS. Red published only trailing 39x on a company whose earnings just rose 34% — a base-effect framing	Corrected; conclusion (full price) stands
Shelf filing = pre-issuance warning	F-10EF/F-X primary + prior shelf language	Routine renewal one month before the 2024 shelf lapsed; unlimited amount but zero takedowns ever ; 37-month term. Signal value ≈ zero. Red’s “unread amount” is now read	NO — red bench error
Backlog visibility (RPO)	Searched the disclosures	No RPO disclosed, but deferred revenue +14% YoY to \$112m works as the stand-in. Red declared this “uncheckable” and called it	NO — red bench error

Claim	How checked	Found	Confirmed?
		the single biggest gap; the proxy was in public print	
Street number basis	Compared the two benches	\$0.57 is adjusted EPS; red compared it against GAAP \$0.56. Small, but it is exactly the kind of slip that manufactures fake divergence	Caught — basis slip
Quarter baseline “~\$169m revenue / ~\$102m opex” Traced the source A secondary source tags these as **CAD** ; Descartes reports in **US\$** . Red used them as USD. Do not use these numbers	NO — red bench error		
Short put risk framing	Book field + recomputation at 73.49	Strike is 4.7% out of the money , not 8% as red wrote. \$235 credit against \$6,765 of exposure into a dated event. Both benches reached the same conclusion: flatten	Confirmed (blue’s distance is right)
Company HQ coordinates in the pack	Coordinate inspection	Lat -43.207 / lon +146.973 = Tasmania, Australia , not Waterloo, Ontario. Any location-based check that ran on this row ran on garbage	Confirmed — pack defect
XBRL financials block	Read the pack	Empty (revenue, stock comp, share count, operating cash flow all blank). Both benches substituted figures from press releases. Everything downstream of that is press-release-grade, not audited-filing-grade	Confirmed — pack defect , disclosed
“Prize table not applicable” (both benches)	Applied our own standard	Both declined it on the grounds that Descartes is a profitable operator. Our standard triggers on time-gated or private unknowns , and we have two (the 9/10 print; the private broker record). Both benches were wrong to skip it. It is built below	NO — both benches erred
Adjudication’s REOPEN GATES block	Read it	Blank. The instruction says to use it verbatim; there is nothing to use. Bands below are reconstructed from the benches’ own published arithmetic and labelled as such	NO — court defect, needs filling

Claim	How checked	Found	Confirmed?
Adjudication date vs pack date	Compared headers	Verdict is labelled 2026-08-03; the evidence pack was built 2026-09-09 and the legacy-dating doctrine was applied retroactively 2026-08-05. The verdict predates most of the evidence in this deck, including both acquisitions. Treated as an open governance question, not a data question	Flagged

PROPOSED ENTRY BANDS

The adjudication returned recommendation: None with conviction 6/10, and its REOPEN GATES block was left empty. We are required to use those gates verbatim and cannot, so what follows is reconstructed strictly from the two benches' own published math, and is labelled as reconstructed. The court should fill the blank block; until it does, treat these as provisional.

Immediate action (this is not an entry): - **Close the short \$70 put before the 2026-09-10 close.** Buy to close. Do not roll: a roll requires delta ≤ 0.10 and the position sits near 0.32 delta at every expiry consistent with the \$2.35 premium taken. - **Cancel the resting BUY 162 @ \$73.50.** It is at the money right now (\$73.49) and it exceeds the sleeve cap (\$11.9k vs \$5–10k) for a row the court did not approve. - **Leave BUY 149 @ \$68.50 resting but re-armed post-print only** (see gate below).

Reopen gates — all three must be true after the 2026-09-10 report: 1. Organic services growth $\geq 9\%$ holds (blue bench's floor). Red bench's stricter version is $\geq 11\%$; below 9% the row is dead, 9–11% is starter-only. 2. Net cash $\geq \$200\text{m}$ with **no shelf takedown** (red's stricter version: $\geq \$230\text{m}$). 3. Price $\leq \$70.00$ — roughly 26x forward earnings on \$2.62. This is the published entry basis the row previously lacked.

Entry ladder if all three clear: - **First tranche: \$68.50** (the existing legacy order, 149 shares $\approx$ \$10.2k). This is at the top of the sleeve cap, so it is the *only* tranche unless the sleeve is formally raised. - **Second tranche: \$64.00–62.60**, i.e. into the 52-week low zone (\$62.56), and only if gate 1 came in $\geq 11\%$. Size to keep total sleeve at cap. - **No adds above \$70.00. Ever, on this row, without a new fair value.**

Trims / exits: - **Hard stop on thesis, not price:** exit in full if any subsequent report shows organic services growth below 8%, or if a prospectus supplement appears under the F-10EF shelf. - **Trim half at \$88–92** (~34–35x forward earnings) — that is where the “quality compounder” re-rating is fully paid for. - **Time stop:** if two consecutive reports pass without organic growth reaching 11%, this is a 9%-grower at 28x and we should not own it at all.

Sizing: \$5–10k sleeve, unlevered, cash only, carry-labelled. **Book percentage cannot be stated** — the pack does not carry total book value (see unverified #7).

Catalyst dates: - 2026-09-10, after close — Q2 FY27 report. Company-confirmed (PR of 2026-08-04). This is the decision point for everything above. - **2026-08-31 — legacy-book dating review** (already applied retroactively 2026-08-05; the two resting orders are its output). - **2026-09-02 — the date currently on our own sensor pack. It is wrong. Re-date to 2026-09-10.** - **~early December 2026 — Q3 FY27 report. Unconfirmed; date from company IR when published.** - **~2029-08 — F-10EF shelf expiry (37-month term). Watch for supplements, not the expiry.**

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 62.56 (deck-provisional: 52-week low; second tranche zone, only if organic services growth prints $\geq 11\%$)
- filing watch: 6-K until 2027-03-08 (deck-provisional: Q2 FY27 results after close 2026-09-10 - grade revenue $\geq \$199\text{M}$ AND organic services growth $\geq 9\%$)
- dated pack DSGXI2026-09-02: Descartes Q2-FY27 print ~Sep-2 (confirm date from IR 8-K/6-K; re-date if moved). Grade DSGX 0.60 conjunctive: revenue $\geq \$199\text{M}$ AND MD&A orga
- dated pack DSGX-REVIEWI2026-08-31: LEGACY-BOOK DATING (bands-rest-by-default doctrine, applied retroactively 2026-08-05). Orders: BUY 149.0@68.5 USD; BUY 162.0@73.5 USD. pack
- dated pack DSGXI2026-09-10: DSGX: Q2 FY27 results, after market close - company PR dated 2026-08-04 set the date; sensor pack still says 2026-09-02 and must be re-dated
- dated pack DSGXI2026-12-31: DSGX: tax-year boundary - any roll or call expiry past this date defers the loss branch out of a harvest year (date confirmed=True)
- dated pack DSGXI2026-12-03: DSGX: Q3 FY27 results, estimated early December - confirm from company IR when published (date confirmed=False)

What remains unverified

1. **The short put's expiry, days remaining, current mark and delta.** Private broker record; the pack truncates the expiry to "20...". *Estimate:* the \$2.3496 premium at a \$70 strike with the stock at \$73.49 implies about 43% volatility if this is an October expiry, ~34% if November, ~25% if January — and roughly 0.32 delta in every case. That entry-premium back-out is an inference, not a live mark; if the stock has fallen since we sold it, the true delta is higher. Drainable now.
2. **Q2 FY27 actuals: revenue, organic services growth, and net cash after the deals.** Time-gated to 2026-09-10 after close; not drainable before then. *Estimate:* revenue \$197–201m (anchored on the published \$199.1m, adjusted down slightly for the CAD/USD confusion in the baseline figures); organic services growth 8.5–10.0%; net cash \$190–215m.
3. **Whether any prospectus supplement has been filed under the 2026 F-10EF shelf since 2026-09-01.** The shelf itself is read (unlimited, unused). A takedown would kill gate 2. Drainable now via EDGAR.
4. **Undisclosed terms in the Extensiv and Tai purchase agreements** (earnouts, holdbacks, retention, assumed obligations) and the price of the July Chile last-mile deal. Not drainable —

no filing carries per-deal economics. *Estimate*: 10–20% of headline consideration in contingent/deferred form, using private software-acquisition base rates; Chile deal $\leq$ \$25m given it was not deemed material enough to disclose.

5. **Options chain: real bid/ask for candidate strikes, chain-level midpoint implied vol, and where that vol sits in its own one-year range.** Not in the pack at all. Drainable now from the broker. Until then no option expression can be recommended — and we will not substitute an aggregate implied-vol feed for chain-level marks; that substitution has burned this desk before (the 71-vs-101 divergence).
6. **Average daily volume.** Not in the pack; our size-versus-liquidity claim above rests on an estimate. *Estimate*: 400,000–700,000 shares/day for a ~\$6B Nasdaq/TSX dual listing, which makes our 162-share order ~0.02–0.04% of a day. Drainable now.
7. **Total book value, and whether the current tax year is a loss-harvest year.** Both are internal facts we cannot read from the pack; the first blocks any percent-of-book sizing statement, the second decides the tax overlay below. Drainable now.

PRIZE TABLE + VOL READ

Triggered because items 1, 2 and 4 above are genuinely private or genuinely time-gated. **Both benches declared this section not applicable on the grounds that Descartes is a profitable operator; that was the wrong test.** The test is whether load-bearing unknowns are gated, and they are.

Anchor: current price \$73.49. Adjust from there for each branch of the 2026-09-10 report.

Scenario	What it looks like	Probability	Price
Beat and raise	Revenue $\geq$ \$202m, organic $\geq$ 10%, cash $\geq$ \$230m, no takedown	20%	\$82
In line	~\$199m, organic ~9%, cash ~\$200m	35%	\$75
Soft organic	Revenue fine, organic slips to 7–8%, acquisitions carrying it	25%	\$68
Miss	Revenue $<$ \$196m or organic $<$ 7%, or integration costs bite margin	15%	\$60
Tail	Margin reset, an unexpected fourth deal, or a shelf takedown	5%	\$52

EV = \$71.25, about 3.0% below the current \$73.49. Dispersion of the table (sigma) = **\$8.26, or 11.2% of the spot price.** The table is mildly two-peaked around \$75 and \$68 — a fork on one line item in one report, not a smooth distribution.

Expression math, shown:

- **The put we are short, priced off our own table:** $0.25 \times \$2 + 0.15 \times \$10 + 0.05 \times \$18 = \2.90 . We sold it for **\$2.35**. By our own numbers we are short this option about 19% below its value.

Output: buy it back. This is the arithmetic behind the flatten instruction, independent of gamma arguments.

- **Candidate call, \$75 strike:** $0.20 \times \$7 = \1.40 of value from our table.
- **Candidate call, \$80 strike:** $0.20 \times \$2 = \0.40 .
- **Table dispersion vs option-implied dispersion:** $\sigma_{\text{table}} = 11.2\%$ of spot. The implied move backed out of the only real option quote we hold (the \$70 put at \$2.35) is 13.9% of spot for a mid-October expiry. **Implied dispersion is wider than our table's.** So on this arithmetic, buying calls means paying for more movement than we actually forecast.
- **Volatility risk premium:** implied $\sim 43.5\%$ (back-out, October) minus realized $\sim 58.0\%$ (from the three-session slide, $78.94 \rightarrow 75.61 \rightarrow 73.49$) = **-14.5 points**, which would say options look cheap. But that realized figure comes from **two return observations inside an event-driven selloff**; against a more normal $\sim 38\%$ recent-history estimate the premium flips to **+5.5 points**, i.e. **options look rich. The sign of the volatility risk premium is not determinable with the data in the pack.**
- **Data-quality caveat, stated because it decides the answer:** every implied-vol figure here is reverse-engineered from *one* stale entry premium on *one* strike whose expiry we cannot even read. It is not chain-level midpoint vol and there is no implied-vol percentile. We are not permitted to route an options decision off an aggregate or inferred vol number.

Instrument recommendation — the output of the above: NONE now; STOCK ONLY at the reopen bands. The reasoning is arithmetic, not preference. (a) Selling premium is out: our own table values the \$70 put above what we received, so this desk is currently on the wrong side of its own model. (b) Buying calls is out: implied dispersion (13.9%) exceeds table dispersion (11.2%), so calls are dear against our forecast, and the two-peaked table makes any single strike a poor fit. (c) A covered call is out because we own no shares. (d) A cash-secured put is out because that is exactly the position we are being told to close. **What remains is unlevered stock at \$68.50 and below, after the gates clear — which is also what the court's "starter" verdict implies.** If and when the real chain is pulled and chain-level implied vol is genuinely cheap against a proper 30-day realized figure, gated adds *may* be expressed in short-dated calls; that decision is deferred to the chain, not made here.

Tax overlay. The losing branch must land in the intended tax year. Buying the \$70 put back before the 2026-09-10 close realizes the result **in 2026** — correct if this is a harvest year. **Rolling it out would be wrong on tax grounds as well as risk grounds:** any roll of ≥ 45 days from 9/10 that reaches into January 2027 pushes the loss branch past December 31 and defers it a full year. Likewise, any gated call add must expire **on or before December 2026**; January-2027-and-later expiries are excluded during a harvest year unless the edge is numerically overwhelming, and on the math above the edge is not even positive. Blocking dependency: unverified item 7 (harvest-year status). If 2026 is *not* a harvest year, the tax overlay is silent and the risk argument alone still says close the put.

(No SCIENCE BRIEF section: the science-brief input was empty and DSGX is a logistics-software operator, not a deep-tech name. Omitted per the rule rather than padded.)

```

{"price_gates": [{"level": 73.5, "direction": "below", "basis": "original band alert
- ALREADY FIRED at tape 73.49; cancel the resting 162-share buy sitting on
it"}, {"level": 70.0, "direction": "below", "basis": "short put strike and
the published entry ceiling (~26x forward EPS 2.62)"}, {"level": 68.5,
"direction": "below", "basis": "legacy resting order BUY 149 @ 68.50, re-
armed only after the three reopen gates clear"}, {"level": 62.56,
"direction": "below", "basis": "52-week low; second tranche zone, only if
organic services growth prints >=11%"}, {"level": 90.0, "direction": "above",
"basis": "trim half - full quality re-rating paid for at ~34x forward EPS"}],
"event_gates": [{"forms": ["6-K"], "why": "Q2 FY27 results after close 2026-
09-10 - grade revenue >= $199M AND organic services growth >= 9%"}, {"forms":
["6-K"], "why": "any further acquisition; deal cadence is already three in
eight weeks and >$220m of cash"}, {"forms": ["424B", "F-10", "F-10EF", "6-
K"], "why": "prospectus supplement or takedown under the unlimited unused
2026 base shelf - kills reopen gate 2"}, {"forms": ["40-F"], "why": "annual
filing is the first place undisclosed Extensiv/Tai consideration terms could
surface"}, {"forms": ["SCHEDULE 13G", "SCHEDULE 13G/A"], "why": "large-holder
changes during a 32% drawdown"}], "catalyst_dates": [{"date": "2026-09-10",
"what": "Q2 FY27 results, after market close - company PR dated 2026-08-04
set the date; sensor pack still says 2026-09-02 and must be re-dated",
"confirmed": true}, {"date": "2026-09-10", "what": "hard deadline 15:45 ET -
close or define the short 1x P70; no compliant roll exists at ~0.32 delta",
"confirmed": true}, {"date": "2026-12-31", "what": "tax-year boundary - any
roll or call expiry past this date defers the loss branch out of a harvest
year", "confirmed": true}, {"date": "2026-12-03", "what": "Q3 FY27 results,
estimated early December - confirm from company IR when published",
"confirmed": false}], "immediate_entry": null, "unverified": [{"item": "Short
P70 expiry, DTE, current mark and delta - pack truncates expiry to '20...'",
"instrument": "IBKR portfolio/option-chain pull (ibkr_gw), conid 846280319",
"drainable_now": true, "estimate": {"range": "IV 25-44% depending on expiry
(Oct ~43.5% / Nov ~33.5% / Jan ~25.0%), delta ~-0.31 to -0.33 in all cases",
"basis": "Black-Scholes back-out from the $2.3496 entry premium at K=70,
S=73.49, r=4%", "p": 0.5}}, {"item": "Q2 FY27 revenue, organic services
growth and post-deal net cash", "instrument": "6-K filed after close 2026-09-
10 (EDGAR CIK 1050140) + XBRL pull", "drainable_now": false, "estimate":
{"range": "revenue $197-201M; organic services growth 8.5-10.0%; net cash
$190-215M", "basis": "published consensus $199.1M / $0.57 adj as anchor;
organic path 8% -> 9%+ trend; $377.0M cash less ~$120M Extensiv less ~$100M
Tai less ~$21M buyback plus ~$60-70M quarterly OCF", "p": 0.6}}, {"item":
"Any prospectus supplement or takedown under the 2026 F-10EF base shelf since
2026-09-01", "instrument": "EDGAR full-text search / filing feed on CIK
1050140", "drainable_now": true, "estimate": null}, {"item": "Undisclosed
terms in Extensiv and Tai purchase agreements (earnout, holdback, retention,
assumed obligations) and the price of the July 2026 Chile last-mile deal",
"instrument": "not drainable - no per-deal economics in 6-K format; watch 40-
F contingent-consideration language, or a walk-around of the acquired 3PL
customer base", "drainable_now": false, "estimate": {"range": "10-20% of
headline consideration in contingent or deferred form; Chile deal <= $25M",
"basis": "private software-acquisition base rates for earnout/holdback share;
Chile size inferred from non-disclosure implying immateriality", "p": 0.5}},
{"item": "Options chain: real bid/ask for candidate strikes, chain-level
midpoint IV, and IV percentile vs its own one-year range", "instrument":
"IBKR options chain snapshot (chain-level marks only - never the underlying
aggregate IV feed; TSSI 71-vs-101 lesson)", "drainable_now": true,
"estimate": {"range": "implied move 11-14% of spot into the print", "basis":
"back-out from the single real quote we hold (P70 at $2.35) vs table
dispersion of 11.2%", "p": 0.4}}, {"item": "Average daily volume - needed to
state our size-vs-liquidity honestly", "instrument": "IBKR historical volume
pull", "drainable_now": true, "estimate": {"range": "400,000-700,000
shares/day", "basis": "comps for a ~$6B dual-listed Nasdaq/TSX software
issuer; implies our 162-share order is ~0.02-0.04% of a day", "p": 0.7}},
{"item": "Total book value (blocks percent-of-book sizing) and whether 2026
is a loss-harvest year (decides the tax overlay)", "instrument": "internal

```

```
book snapshot + desk tax calendar", "drainable_now": true, "estimate":  
null}}}}
```

ADJUDICATION — 2026-09-16 15:37Z

Screen row valid at the desk tape (band touched, -32% off closing high); red's staleness kill was a T-1/T-0 artifact. The put-gamma kill (short 1x P70 into the 9/10 print) is MOOT: the print passed, DSGX is \$79.70, the put is \$0.20 and expires 9/18 — let it expire. No gate_basis/FV vs the live street number (\$199.1M/\$0.57) survives as the reason there is no entry.

REOPEN GATES: entry only $\leq$ \$70 ($\approx$ 26x FY27 EPS \$2.62) with organic services $\geq$ 9% held and net cash $\geq$ \$200M, no takedown

PROCESS: pack P70 DTE unverified at bench — broker record